

## 4.5 EXPANSION OF FIRMS

Microeconomics by Topic  
4. Ownership & Expansion of Firms

### MARKING SCHEME

|                    |                    |                          |                          |                          |
|--------------------|--------------------|--------------------------|--------------------------|--------------------------|
| 1990/CE/II/18<br>B | 1995/CE/II/27<br>B | 2001/CE/II/23<br>A       | 2006/CE/II/23<br>C (75%) | 2010/CE/II/24<br>C (96%) |
| 1991/CE/II/21<br>A | 1995/CE/II/28<br>A | 2002/CE/II/22<br>B (33%) | 2007/CE/II/23<br>D (73%) | 2013/DSE/I/08<br>A (82%) |
| 1993/CE/II/23<br>D | 1997/CE/II/20<br>A | 2003/CE/II/23<br>D (74%) | 2007/CE/II/24<br>D (52%) | 2015/DSE/I/08<br>A (88%) |
| 1993/CE/II/23<br>A | 1998/CE/II/19<br>D | 2003/CE/II/24<br>D (75%) | 2008/CE/II/22<br>A (72%) | 2016/DSE/I/11<br>B (72%) |
| 1994/CE/II/27<br>A | 1998/CE/II/21<br>A | 2004/CE/II/24<br>D (77%) | 2008/CE/II/23<br>A (92%) | 2017/DSE/I/09<br>C (57%) |
| 1994/CE/II/28<br>C | 2000/CE/II/24<br>A | 2005/CE/II/24<br>A (80%) | 2009/CE/II/24<br>C (69%) | 2018/DSE/I/08<br>A (83%) |
| 2019/DSE/I/09<br>B | 2020/DSE/I/18<br>C | 2022/DSE/I/06<br>D       | 2024/DSE/I/07<br>D       | 2025/DSE/I/10<br>A       |
| 2025/DSE/I/34<br>D |                    |                          |                          |                          |

*Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.*

1990/CE/I/4(a)(i)

- to secure outlet of product
- easier to obtain information on consumers' preferences
- to enjoy economies of scale
- to build up brand name

(2@, max: 4)

[Mark the first 2 points only. Mere listing of points without elaboration - max. 1 mark.]

1991/CE/I/5(b)(iv)

Horizontal integration

(1)

Explanation of two advantages:

- economies of scale
- greater market power
- reduce duplication of facilities

(3@, max: 6)

[Mark the **FIRST TWO** points only.]

1992/CE/I/4(a)

(i) Conglomerate integration

- (ii) - more efficient use of the land site
- diversification of production/spread risk
- promotion of goodwill

- economy of scale with reasonable explanation

(3@, max: 6)

[Mere listing of points without elaboration – max. 2 marks. Mark the **FIRST TWO** points only.]

Microeconomics by Topic

4. Ownership & Expansion of Firms

1994/CE/I/9(a)

Lateral expansion

Motives:

- diversification of product / spread risk
- make use of brand name
- economies of scale

[Mark the **FIRST TWO** points only.]

(1)

(2@, max: 4)

1996/CE/I/11(b)

(i) Lateral expansion, because

newspapers and magazines are related products but not necessarily competing with each other.

(ii) - better utilization of resources

- benefits derived from brand name
- diversification of investment / spread risk
- economies of scale

[Mark the **FIRST TWO** points only.]

(1)

(2)

(1@, max: 2)

1998/CE/I/3

- guarantee stable source of films to be shown on the television
- the television company is able to direct or influence the kind of films to be shot by the film company
- economies of scale illustrated by one appropriate example. e.g. the expertise
- to diversify the television company's risk of investment

[Mark the **FIRST TWO** points only.]

(2@, max: 4)

1999/CE/I/11(b)

Conglomerate integration.

Elaboration of two of the following:

- diversification of products / spread risk
- financial economy of scale
- managerial economy of scale
- marketing economy of scale
- any other relevant point (except technical economy of scale)

[Mark the **FIRST TWO** points only.]

(1)

(2@, max: 4)

2002/CE/I/11(d)

- to make use of brand name
- to diversify the business
- to promote its goodwill
- to better utilize its resources / to enjoy economies of scale

(1)

(1)

(1)

(1)

2003/CE/I/9(b)(ii)

Vertical forward expansion because

the manufacturer expands to the next stage of production.

- obtaining market information more easily
- ensuring market outlets for its products
- economies of scale, e.g. financial economies of scale
- promote goodwill / make use of brandname

[Mark the **FIRST TWO** points only.]

(1)

(1)

(2@, max: 4)

2006/CE/I/3

Conglomerate expansion because (1)  
movie production and hotel business are two different lines of production. (1)

**OR**

Lateral expansion because (1)  
the products are related but not competitive. (1)

Possible motives of conglomerate expansion or lateral expansion:

- product diversification to spread risk
- making use of brand name to sell another product / promoting goodwill
- more flexible use of resources
- to benefit from economies of scale (1@; max: 2)

[Mark the **FIRST TWO** points only.]

2010/CE/II/10(b)

Lateral expansion, because (1)  
it expands to include a related but not competitive business. (1)

[Remark: No mark will be awarded to this part if the explanation contradicts with the type of expansion.]

2012/DSE/II/3

(a) Conglomerate expansion, because (1)  
the firm has expanded into unrelated industries. (1)

(b) Possible motives:

- to have product / income diversification so as to spread risk
- to make use of its brand name of one product in other products
- to use resources more efficiently as the two companies can share some of their resources
- to enjoy economies of scale (e.g. lower average cost of advertising as the total cost can be spread over a larger quantity of output.) (1@; max: 3)

[Mark the **FIRST THREE** points only.]

2014/DSE/II/4

(a) Vertical backward expansion, because (1)  
by starting Fai Lok Institute, Tai Fai Lok Group has expanded its operation to the previous stage of production to control directly the supply of labour inputs (chefs and managers) to its original (food) business. (1)

(b) Advantages

- more steady supply of factor inputs such as chefs and managers
- better use of the brand name
- program can be tailor-made for those graduates from the Institute who are hired to work in the Group's restaurant, so as to shorten their training time. (2@; max: 4)

[Mark the **FIRST TWO** points only.]

2015/DSE/II/9(b)

Lateral expansion, because (1)  
fast food and coffee are related but not directly competitive products. (1)

2019/DSE/II/9

(a) **Public good.** It is because the videos are non-rivalrous in consumption as people (3)  
can concurrently watch the video without affecting one another.

(b) **Horizontal expansion.** (1)

Reasons:

- enlarge the market share
- enjoy economies of scale
- make use of the brand name
- any other relevant point

[Mark the **FIRST TWO** points only.]

} @1  
max: 2

2020/DSE/II/2

2 a ) Lateral. The integration involve in related industry but not directly competing ( 2 marks )

b. Economies of scale.

Better use of resources

Diversify of risk

Brand name effect

. any two of the above. ( 2 marks )

2021/DSE/II/3

**Vertical backward integration.**

Motives:

- To ensure a steady supply of raw materials
- To diversify sources of income and spread risks
- To make use of its brand name in other products
- Any other relevant point

[Mark the **FIRST TWO** points only.]

**2023/DSE/I/1(a-b)**

- (a) Conglomerate integration, because  
electric car manufacturing and social media operation are totally unrelated businesses.

**Marks**

(1)

(1)

- (b) Possible motives:
- to spread risk through product diversification
  - to make use of its brand name in other products/services
  - any other relevant point

[Mark the **FIRST TWO** points only.]

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max: 2